

Incorporation & Formation of Companies

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Lite — Quick Review (1h-1d)

Rapid summary for last-minute revision before your exam.

Incorporation under the Companies Act, 2013 is the legal process by which a proposed company becomes a body corporate on registration with the Registrar of Companies (RoC) and is governed by Sections 3-14, Schedule I, and the Companies (Incorporation) Rules, 2014. A company is formed in three stages — Promotion, Incorporation (registration), and Commencement of Business — each triggering distinct legal consequences and filings.

Entity type	Min. members	Min. directors
Private Company	2	2
Public Company	7	3
One Person Company (OPC)	1	1 + 1 nominee

High-Yield Memory Hook: "P-P-R" — Promoter drafts MoA/AoA files Public document (SPICe+) RoC issues Certificate of Incorporation (Registration). Think Promoter Paper RoC in that order.

Standard — Regular Study (2d-2mo)

Standard content for students with a few days to months.

Stages of Formation

The formation journey has three distinct legal stages. Promotion involves identifying a business opportunity, assembling promoters, and conducting preliminary actions like feasibility studies and arranging finance. Incorporation begins with name approval through RUN (Reserve Unique Name) on the MCA portal, followed by filing the integrated SPICe+ form (INC-32) along with e-MOA (INC-33) and e-AOA (INC-34), payment of stamp duty and filing fees, and registration with the RoC. Commencement of Business under Section 11 requires a public company to file a declaration in INC-20A within 180 days of incorporation, confirming that every subscriber has paid the agreed share value.

Memorandum vs. Articles — The Core Comparison

Aspect	Memorandum of Association (MoA)	Articles of Association (AoA)
Section	4	5
Nature	External charter — defines company-object scope	Internal rules — governs management
Defines	Name, registered office, objects, liability, share capital	Rights of members, board meetings, dividend, accounts
Binding on	Company outsiders	Company members (inter se)
Doctrine applicable	Ultra vires	Indoor management (Turquand's rule)

Formula Check: A company acts through its directors; acts beyond MoA objects are void (ultra vires) and cannot be ratified even by unanimous shareholders — a classic examiner trap.

Common Exam Pitfalls in Doctrine

- Doctrine of Ultra Vires — Once an act is ultra vires, it is void ab initio. The company cannot sue on contracts beyond its objects. Leading case: Ashbury Railway Carriage Co. v. Riche.

- Doctrine of Indoor Management — Outsiders are presumed that internal procedures were followed. Six exceptions apply: (1) forgery, (2) knowledge of irregularity, (3) void/illegal acts, (4) acts requiring sui generis procedure, (5) Walsh v. Trevor — where the outsider had reasonable suspicion, (6) negligence of the outsider.

Exam-Level Worked Problem

Question: M/s GreenVolt Pvt. Ltd. was incorporated on 1st January 2025 with 3 subscribers. On 1st March 2025, the directors borrow ₹50 lakh from a bank without obtaining any board resolution. The bank, having checked the AoA, argues the loan is binding because the company's articles permit borrowings up to ₹1 crore. The subscribers claim the loan is ultra vires. Decide the case with reference to relevant doctrines.

Solution:

Identify the issue — Is borrowing beyond internal procedure (AoA) void or merely irregular?

Apply Ultra Vires — The MoA objects of GreenVolt likely include "raising finance" — borrowing is intra vires the company, so the loan is not ultra vires the company itself.

Apply Indoor Management — The bank's claim fails because the outward act (signing the loan deed) was done by the director — the outsider is entitled to assume internal formalities (board resolution) were complied with under Royal British Bank v. Turquand (1856).

Conclusion — The loan is valid and binding on the company. The remedy of the subscribers lies against the defaulting director for breach of duty, not against the bank.

Examiner Trap: Students wrongly invoke ultra vires here because they confuse "ultra vires the directors" with "ultra vires the company." Ultra vires applies only to acts beyond the MoA objects, not the AoA's internal procedural limits.

Key Steps in SPICe+ Filing

Obtain DSC (Digital Signature Certificate) for proposed directors.

Apply for DIN through DIR-3 or via SPICe+ itself.

Reserve name via RUN or SPICe+ (Part A).

File SPICe+ (INC-32) with e-MOA, e-AOA, DIR-2, and DIR-12 attachments.

Pay stamp duty and RoC fees; upon approval, RoC issues Certificate of Incorporation allotting CIN, PAN, TAN, GSTIN, EPFO, ESIC simultaneously.

Extended — Deep Study (3mo+)

Comprehensive coverage for students on a longer study timeline.

Edge Cases and Statutory Exceptions

Situation	Governing provision	Effect
Public co. fails to file INC-20A within 180 days company cannot commence business	Section 11(2)	Directors liable for ₹50,000 fine;
OPC paid-up capital > ₹50 lakh or turnover > ₹2 crore conversion to Pvt Ltd/Public within 6 months	Section 18(3) proviso	Mandatory
Company ceases to have registered office defaulting officer	Section 12(1)	Punishment: ₹1,000/day for
Director sits in >20 companies	Section 165	Office in excess directorship becomes vacant

Promoter Liability — Beyond the Basics

A promoter stands in a fiduciary position to the company he promotes (per *Erlanger v. New Sombrero Phosphate Co.*). He must disclose any secret profit, account for any benefit derived without disclosure, and is personally liable on pre-incorporation contracts unless the company adopts the contract through novation after incorporation (*Kelantan Coconut Estates Ltd. v. National Union of Plantation Workers*). The promoter's right of indemnity arises only after the company expressly adopts the contract.

Lifting the Corporate Veil

Although registration grants separate legal personality (Section 9), courts may pierce the veil in specific statutory situations: (a) fraud or evasion of law, (b) protection of revenue/tax, (c) determination of enemy character, (d) group companies (DHN Food Distributors), and (e) under Sections 7, 8, 239, 447, 458 of the Act.

Common Mistakes in Application Questions

Stating that minimum paid-up capital of ₹1 lakh (public) or ₹5 lakh (private) still exists — the 2013 Act removed this requirement.

Treating OPC as immune from conversion — OPC must convert on crossing thresholds.

Assuming Section 8 companies have relaxed subscriber minimums — Section 8 still requires 2 subscribers minimum for private and 7 for public structure.

Forgetting that DSC and DIN are pre-conditions to SPICe+ filing — many students skip this in procedure questions.

Two Advanced Practice Prompts

Application: A promoter signs a lease for office space before incorporation. After incorporation, the company refuses to take the lease, and the landlord sues. Discuss (a) liability of the promoter, (b) whether the company can ratify, and (c) the novation requirement.

Case-based: Distinguish between *Ashbury Railway Carriage Co.* (ultra vires — MoA) and *Royal British Bank v. Turquand* (indoor management — AoA), and explain how *Walsh v. Trevor* modifies the *Turquand* rule.

Exam Strategy

This topic carries 3% weightage but is a high-yield Section A topic — expect 5-10 marks from short notes, MCQs, or a 15-mark case study. Target 4-6 minutes per question. Memorise Section numbers (3, 4, 5, 9, 11, 12, 14, 18) and the SPICe+ workflow precisely.

Continue your study

- View this topic in your CS Executive roadmap — see where "Incorporation & Formation of Companies" fits in your personalised plan
- Build a quick revision plan — 1-day sprint covering highest-weight topics
- CS Executive exam overview — pattern, eligibility, and syllabus
- All Company Law notes — browse sibling topics in this subject

Content adapted based on your selected roadmap duration. Switch tiers using the selector above.